

rights of the survivor of the joint tenants, and in the absence * of other evidence his representatives were [*63] held to be entitled to the property (a).]

11. **Engagement to execute an unlawful trust.**— It often happens that a proposed devisee enters into an engagement with the testator in his lifetime to execute a secret trust of an *unlawful* character, one which the policy of the law does not allow to be created by will.¹ In this case the Court will not suffer the devisee to profit by his fraud, but on proof of the fact raises a resulting trust in favour of the testator's heir-at-law. If, therefore, a testator devise an estate in words carrying upon the face of the will the beneficial interest, and obtain a promise from the devisee either expressed or tacitly implied that he will hold the estate upon trust for a charitable purpose, the heir-at-law, as entitled to a resulting trust,

[(a) *Turner v. Attorney-General*, 10 I. R. Eq. 386.]

¹ *Secret trusts.*— If a fraudulent trust appear in an answer, a trust will be created in favor of those interested in the estate; *Robinson v. King*, 6 Ga. 539; a Court of Equity will compel discovery, enforce the trust if lawful, declare it void if unlawful—where done by fraud, circumvention, accident, mistake, or design; *Brown v. Clegg*, 6 Ired. Eq. 90; 51 Am. Dec. 413; if it is claimed that a person purchased with notice of a secret trust, clear proof of actual facts must be shown, sufficient to put a party on inquiry, and with ordinary diligence lead to knowledge of it; *Wilson v. McCullough*, 23 Pa. St. 440; 62 Am. Dec. 347; a bill of sale privately understood to be a mortgage creates a secret trust as to surplus in favor of vendor, and is void as to creditors; *Chenery v. Palmer*, 6 Cal. 119; 65 Am. Dec. 493; *Hodgkins v. Hook*, 23 Cal. 584; a *bona fide* purchaser of corporate stock, without notice, will be protected against a secret trust in favor of a third person, where such person by his voluntary act has conferred an apparent right of property in stock on the vendor; *Crocker v. Crocker*, 31 N. Y. 507; 88 Am. Dec. 291; a secret trust inconsistent with the terms of the sale of property, though evidence of fraud, if not satisfactorily accounted for, is not fraud *per se*, nor conclusive evidence of it, and it is immaterial whether the property is real or personal; *Oriental Bank v. Haskins*, 3 Met. 332; 37 Am. Dec. 140; see, also, *Murphy v. Mariland*, 8 Cush. 577; *Lynde v. McGregor*, 13 Allen, 181; *Crowninshield v. Kittridge*, 7 Met. 524; *Harvey v. Varney*, 98 Mass. 120; to enforce a secret trust an honest purpose must be shown; *Patton v. Beecher*, 62 Ala. 579; a trustee purchased land in his own name with his wife's money; trust results to the wife, in conveyance of which she joins, good if purchaser has no knowledge of her incapacity; *Gray v. Turley*, 110 Ind. 254; A., holding stock, dealt with it as his own, transferring it to B., and B. to C., neither B. nor C. having any knowledge of the trust; *Borland v. Clark*, 26 Kan. 349; an express trust by secret agreement may be enforced; *Thompson v. Newlin*, 6 Ired. Eq. 380; but a secret trust was not sustained in *Conover v. Beckett*, 38 N. J. Eq. 384.